

When One Fails, the Others Hold: The Smart Logic of Multi Asset Investing



■ Manoj Chechani

Founder

Affluent Capital Pvt. Ltd.

If you've ever tried downloading a movie on weak Wi-Fi, you already understand more about investing better than you think. A single signal bar just doesn't cut it. But when all three bars light up, things work smoothly. That's exactly how multi-asset investing works. It doesn't rely on just one source of return, like stocks. Multi asset investing brings together equity, debt, and gold or silver and sometimes even REITs and InvITs in a single portfolio. No matter where the market is headed, your investments still have strong signal to hold on to.

For Indian investors, especially those just starting their journey or looking to build wealth sensibly, this approach offers an elegant solution to a messy problem: market unpredictability. Take a step back and look at the past 15 years. In 2011, gold delivered over 30%, while equities

fell more than 24%. Fast forward to 2020, and gold was again the star with a 28% return, while equities gave around 15%. In other years, like 2021 or 2023, equities outperformed. There's no fixed pattern. No single asset class consistently stays on top or at the bottom.

That's where multi-asset mutual funds quietly do their job. It creates a portfolio that's balanced i.e. not overexposed to any single opportunity or risk. Equities offer potential capital growth, debt adds stability, and gold protects your money during inflation or global shocks. Each of these plays a role, like instruments in an orchestra. Alone, they might sound flat but together, they create harmony.

Equity by itself has delivered excellent long-term growth. The Sensex has grown to over 70,000 since 1981. But that journey has had long phases of slowdown too, for example ten years (1993-2003) at just 3% annual growth. Debt, on the other hand, has been remarkably stable, with five-year rolling returns averaging around 7.3%. Meanwhile, gold has gone through its own cycles. Over the past five years, it grew at 16.4% CAGR and acted as a strong hedge during turbulent times like the pandemic.

A multi asset approach isn't about just splitting money into buckets and forgetting about it. It shifts gears based on where value lies. When equity markets look overheated, such funds can lower their equity exposure and lean more

towards debt or gold. If bonds are offering low yields, they might tilt more towards equities. Some even take limited exposure to real estate investment trusts (REITs), infrastructure trusts (InvITs), or use strategies like covered calls to enhance portfolio income.

Over longer horizons, these funds have shown to reduce the impact of sharp market falls and improve the odds of consistent returns. Historical data shows that portfolios with balanced exposure across equity, debt, and gold have often delivered inflation-beating returns with much lower volatility. The reason is simple: no single asset works all the time, but together, they can support each other when one stumbles.

Instead of chasing returns, letting different asset classes do their job is a smart approach. You don't have to guess whether gold or equity will perform better next year. You don't have to worry about timing interest rate cycles. Multi asset mutual funds give you a smoother ride across market cycles, and for many retail investors, that peace of mind is as important as returns.

Think of it not as a shortcut to wealth, but as a sensible path that adjusts, adapts, protects and gives your money room to grow. Sometimes, the best strategy isn't about making the most in good times, but about not losing your head when things turn. And multi asset investing helps you do exactly that.